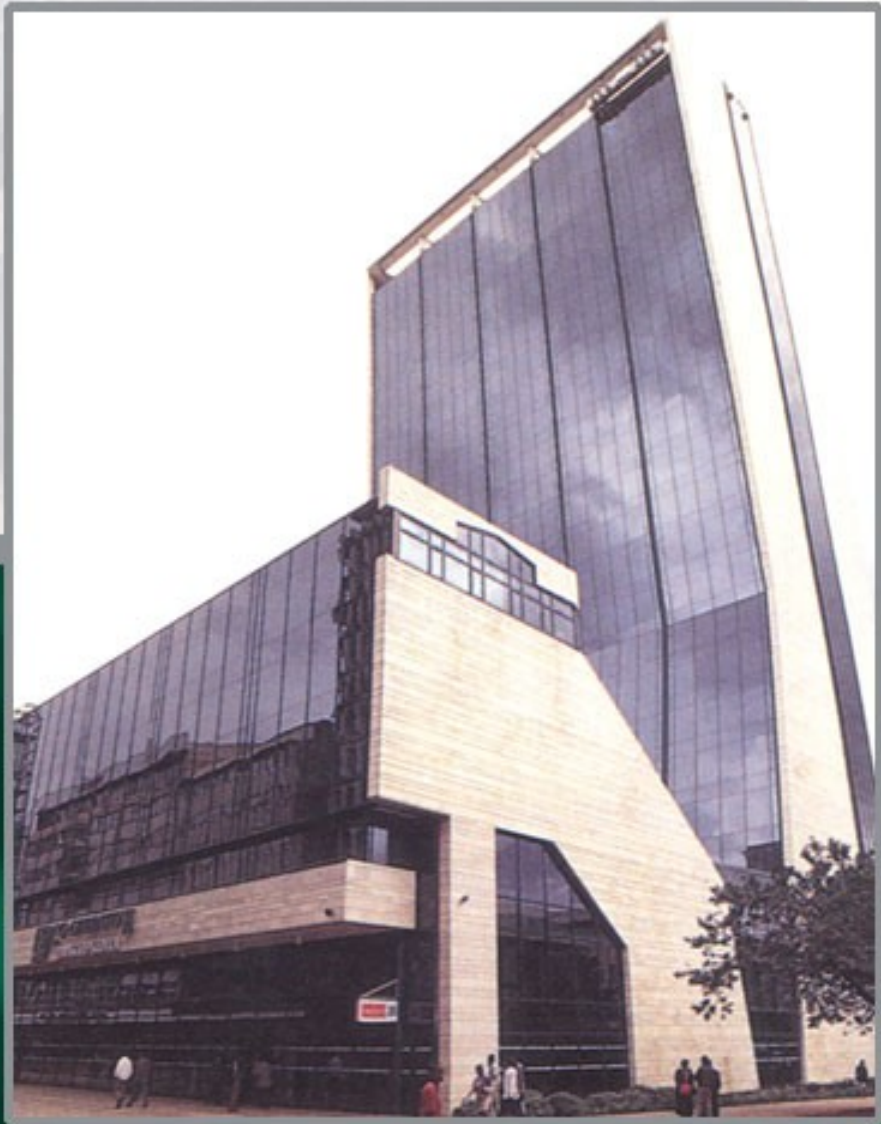


PRESENTATION OF 2010 HALF YEAR FINANCIAL RESULTS



Gideon Muriuki, OGW

GROUP MANAGING DIRECTOR &
CEO



Profit Before Tax



Co-op Bank is pleased to report a remarkable **Profit Before Tax** of **Kshs.2.91 billion** for the period ended June 30, 2010 representing a commendable **50%** growth compared to **Kshs.1.94 billion** recorded during the same period in year 2009.



A Growing Bank



KES Billions	Jun 30, 10	Jun 30, 09	(%) Change	
Total Assets	134	93	44%	↑
Loan Book (net)	70	57	23%	↑
Total Deposits	110	74	49%	↑
Shareholders Funds	18	15	20%	↑
Customer Base	1,253,239	812,406	54%	↑



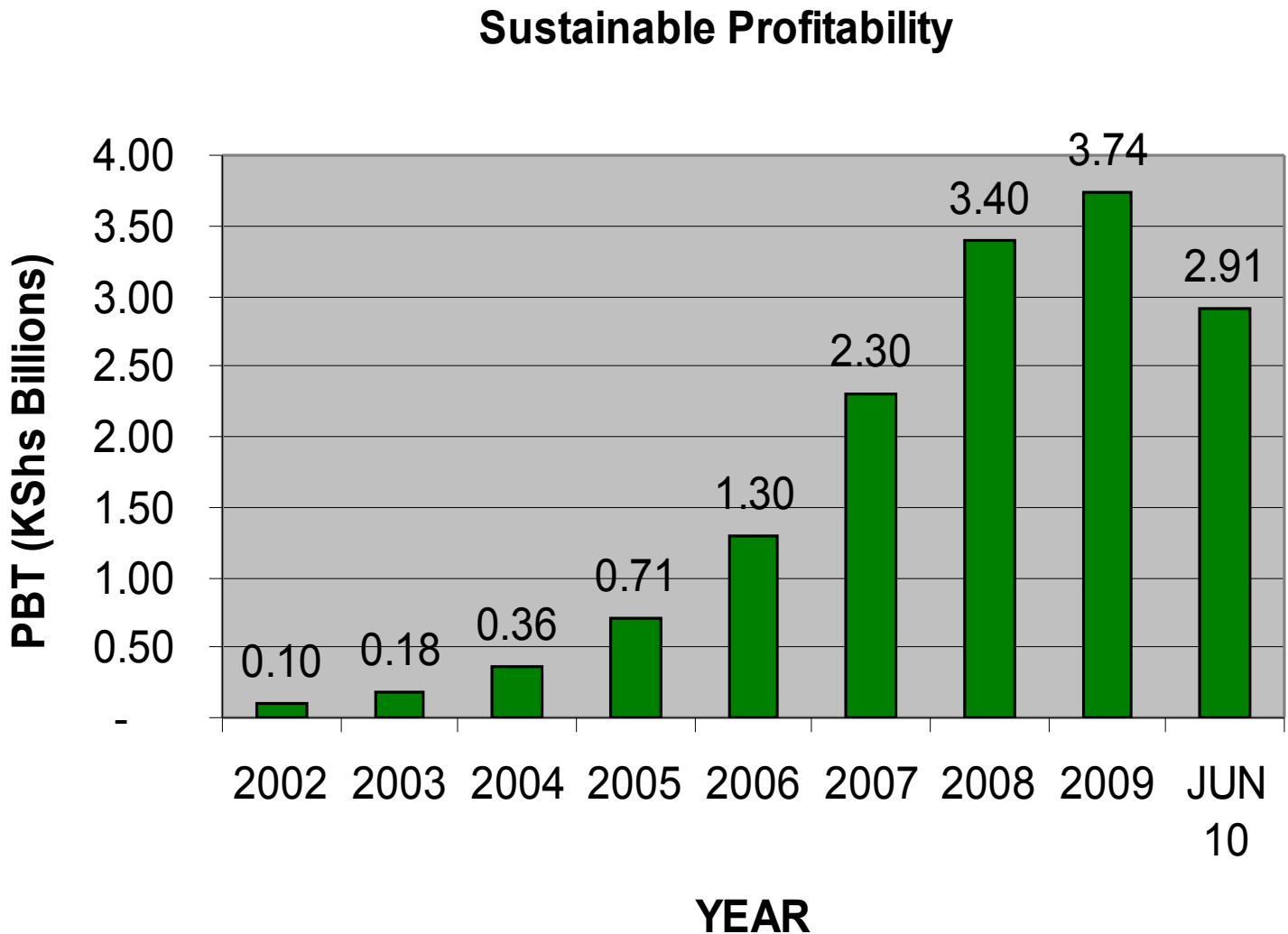
Income Statement



KES Billions	Jun 30, 10	Jun 30, 09	(%) Change	
Net Interest Income	4.1	3.1	32%	↑
Fees and Commissions	2.9	2.0	45%	↑
Total Income	7.0	5.2	35%	↑
Loan Loss Provisions	0.4	0.2	100%	↑
Operating Expenses	3.7	3.0	23%	↑
Profit Before Tax	2.9	1.9	50%	↑



Sustainable Growth



Sustainable Growth



-  Co-op Bank remains focused on sustainable growth as its key objective of **deepening shareholder value**
-  During the six months the following were the key business drivers that lead to these excellent results:-





Transaction Based Income

Our fees and commissions (notably ATM, personal and business banking commissions, M-Banking, Forex income and letters of credit) have grown from KSh2.04 billion in June 2009 to KSh.2.94 billion in June 2010 out of the following key initiatives:-





Transaction Based Income

Customer Growth

- ✍ During the year, we continued an aggressive customer growth campaign aimed at increasing our customer base.
- ✍ The all inclusive bank staff initiative grew our customer base from 800,000 customers to over 1.2 million customers registering a 54% growth.
- ✍ Growth in customer base ensured increased transactions volumes thus increased fees and commissions income.





Transaction Based Income

Branch Network Expansion

- ✍ We have increased our branch network by 9 locations since January 2010 to reach 83 locations.
- ✍ The expansions target strategic locations based on their profiles and business potential from our chosen market segments.





Transaction Based Income

Expanded Automated Teller Machines (ATMs) network

-  We continued to increase our investments in ATM network and are now accessible in **299** service points.
-  Also invested in over 20 Auto Banking Centre's with deposit taking capabilities hence providing our customers a 24 hour banking service.





Transaction Based Income

Front Office Service Activity (FOSA) Project

 We continued retailing banking services through Sacco's / Fosa's to the over 7 million member co-operative movement using this unique model. Examples are:-

- ✓ Loan products
- ✓ Sacco link debit cards
- ✓ Payment systems

 Through our subsidiary Co-operative Consultancy Services Limited the Bank continued to provide corporate finance capacity support aimed at increasing the number of Sacco FOSA's to over 400.



Transaction Based Income



SACCO Link

- ✍ This ICT switch enables members of Sacco's cash at our ATM's and goods/services at Visa branded outlets globally.
- ✍ Over 250,000 cards have been issued and the product targets over 400,000 users this year.
- ✍ This is well supported by an increased investment in ATMs and POSs.





Transaction Based Income

Mobile Banking

- 
- A photograph of a modern GCB Bank building with a glass facade and a yellow section, with people walking in front.
- ✍ We have enhanced our mobile banking service the M-Banking
 - ✍ Our customers can now access a wide range of services such as:-
 - » Air-time top ups
 - » Money transfer to and from Mpesa
 - » Balance enquiry
 - » Utility payments among others
 - ✍ An active client base of over 340,000 customers



Asset Growth

The Bank continued to grow quality assets with increased investments in a strong credit risk management framework. Our portfolio stood at KSh70 billion net on a well diversified loan portfolio as hereunder:

ASSET BOOK	KSh million	%
Corporate	13,292	19%
Mortgage	340	.50%
SME & MCU	5,083	7.3%
Personal	32,296	46.1%
Agri-business	2,176	3.1%
Sacco Banking Loans	16,853	24%
Total (Net)	70,040	100%



Asset Growth



Corporate and Trade Finance

- ➡ The bank has strengthened capacity thus growing the corporate book
- ➡ The results have been growth in the Forex to over kshs370million
- ➡ The bank is now a key player in the corporate market with significant portfolio's e.g. has an Letters of Credit / Guarantees portfolio of over KSh19 billion.



Asset Growth



Institutional and Government Banking

- ➡ Substantially grown our portfolio in this sector with key contributions to the balance sheet growth and non funded income streams
- ➡ We continue to be a niche market provider of banking services



Asset Growth



Mortgage

- 
- A photograph of a modern Co-operative Bank building with a glass and stone facade, located on the left side of the slide.
- ➡ Our product “**Good Home Mortgage**” is fast growing and continues to perform well in the market.
 - ➡ With the Co-operative captive market segment, this will be a **cash cow** for the bank.
 - ➡ The product has over Kshs2billion in committed lines

Asset Growth



Agri-business mainly coffee sector that was substantially reduced with the KShs5.2 billion debts write off in the year 2007, and is now supported by the Stabex revolving fund grant



We have diversified our agri-business products including maziwa loans thus growing a good book.





Credit Risk Management

Prudent Lending



- ✍ With key hard lessons from our yester years when we incurred losses, the bank has continued to enforce strict credit risk management and our overall non performing loans portfolio decreased from 9% in 2009 to 7.7% in 2010.
- ✍ The bank has proactively grown a diversified portfolio.
- ✍ Provisions for bad and doubtful debts increased by 100% to Kshs.400 million from KShs.200 million in line with the growth of the book.

New Business



Kingdom Securities Limited (KSL)

-  KSL has made a full turnaround with a PBT of KSh 15 million as at June 30, 2010 against a loss of KSh 8 million in June 30, 2009.
-  Broadening the group's performance by taking stock brokerage services to the over 7 million member co-operative movement.
-  With over 124 institutional agents countrywide, mainly Sacco's, KSL is projected to make a reasonable contribution to the deepening of financial markets.



New Business



Alternative Banking Channels (ABCs)

 Taking cognisance of the importance of expanding our outreach, the bank has embarked on key initiatives under ABC

Point of Sale (POS) Banking

 Through the use of ICT, we are broadening the concept of branchless banking through the POS where we expect to install over 3,000 POS's countrywide.



New Business



Agent Banking



We have a project team in place who are in the process of implementing the model.



We have experience in this model through the business partnership with the Co-operatives and SACCO's.



Cost Rationalisation



The bank optimized over 300 positions and thus was able to open additional branches with the same staff compliment.



All cost lines continue to be monitored to eliminate waste and avoid budget overruns.



Over 50% of the new branches are already contributing to the bottom line and the projection is all will break even by year end.



The bank continues to lease premises as opposed to outright ownership as it is both cost and tax efficient.



Human Resources



Perhaps the key competitive edge for Co-operative Bank group is continued investment in our people.



The bank has heavily invested in performance management systems that are tied to compensation.



Both local and overseas training remains key with minimum training hours a target for every staff every year.



Co-op bank is now an employer of choice.



Core Banking Software



The Bank has been on a Bank Master / Branch Power core banking system from *Misys* that has given us a key competitive edge with a capacity to hold over 7 million customers.



The Bank is at an advanced stage of upgrading its core banking software aimed at positioning the Bank for future growth.



Regional Expansion



The Co-operative Bank of Southern Sudan is expected to be operational by the end of this year with ownership as hereunder:

 70% owned by Co-operative Bank of Kenya; and

 30% by Government of South Sudan, on behalf of South Sudan's Co-operative movement.

Currently negotiating strategic



Share Performance



ith a price of kshs16per share and
annualised PBT of kshs2.91billion this
presents an annualised P/E of 12

ith an industry average P/E of 15 the
projected price of the share will be kshs.20

o-op Bank is thus a growth stock



Conclusion



Your bank has sustained the tremendous growth momentum over the years



Given the various initiatives in place we project to do even better in the second half of year 2010.



Appreciation



We sincerely thank you and all our stakeholders for the continued support over the years that has seen the success of the **Kingdom Bank.**

We continue to heavily invest in the Kenyan People and are confident of brighter days ahead.





**Thank you
and
may God richly
bless you all.**

